

DOWN QUARK SYSTEMS, LLC AND SUNNYSIDE
DIGITAL, INC.,

Complainants,

v.

ZIM AMERICAN INTEGRATED SHIPPING
SERVICES CO., LLC; ZIM INTEGRATED SHIPPING
SERVICES, LTD.; AND PORT OF HOUSTON
AUTHORITY OF HARRIS COUNTY, TEXAS,

Respondents.

Respondents ZIM American Integrated Shipping Services Co., LLC and ZIM Integrated Shipping Services, Ltd. (collectively, “ZIM” or “Respondents”), through and by their undersigned counsel, respectfully submit this Reply in accordance with 46 C.F.R. § 502.70(c). This filing addresses the Opposition Brief to the Motion to Dismiss (the “Opposition Brief”) submitted by Down Quark Systems, LLC (“DQS”) and Sunnyside Digital, Inc. (“SunnySide”) (collectively, the “Complainants”), dated August 19, 2026, and is timely filed.

As a preliminary matter, the Complainants misrepresented key facts and procedural developments. First, ZIM has not attempted to avoid the Commission’s jurisdiction. Its actions at the United States District Court for the Southern District of New York (“SDNY”) and, later, at the United States District Court for the Southern District of Texas (“SD Texas”) do not allege any

claims of U.S. Shipping Act (“Shipping Act”) violations against the named defendants. Further, the Motion to Dismiss does not challenge the Commission’s jurisdiction but rather asks whether Complainants sufficiently pled the Shipping Act claims against ZIM.

Second, the extension requests and the Motion to Dismiss are not attempts to needlessly delay this proceeding. The motions for enlargement of time and the motion to dismiss are permitted under the FMC Rules of Practice and Procedure. The extension requests outlined the good cause for additional time, including the complexity and length of the Verified Complaint and the substitution of counsel. The Complainants did not oppose the extension requests, and each extension request was granted because good cause was sufficiently shown by ZIM. Likewise, the Motion to Dismiss was filed in good faith and was prepared after careful review of the Verified Complaint, assessment of the claims against ZIM, and consideration of the relevant laws and Commission guidance.

Finally, the “three complaints” filed at SDNY and SD Tex include an amended complaint at SDNY. Amending this complaint to address notable factual developments is not only prudent but also necessary to protect ZIM’s claims for collection. For example, several parties have since surfaced to dispute the charges—the consignee listed on the Master Bill of Lading (TD Logistics, Inc.); the entity identified as the disputing party in the October 29, 2025, letter (Elektron Enterprises LLC); the entity alleged by the Verified Complaint to have submitted the October 29, 2025, letter (Elektron Energy Operations Ltd.); and the entity that the Verified Complaint alleged is responsible for the charges (Down Quark Systems LLC). Compl. ¶¶ 118, 120, and n. 63.

II. The Complainants' Opposition Brief Improperly Introduces New and Inconsistent Factual Allegations Not Pled in the Verified Complaint

The Complainants' Opposition Brief proceeds from a mistaken premise. The Complainants invoke the motion-to-dismiss principle that well-pleaded factual allegations must be accepted as true and that reasonable inferences must be drawn in their favor. This principle, however, applies to the facts pleaded in the operative complaint—the Complainants' Verified Complaint filed on May 18, 2026—not to new allegations, new exhibits, or revised theories advanced for the first time in an opposition brief. The Opposition Brief therefore attempts to recast Federal Rule of Civil Procedure (“FRCP”) 12(b)(6) into a one-way ratchet: the Complainants ask the presiding ALJ to accept the Verified Complaint's allegations where useful, disregard them where inconvenient, and credit new or inconsistent factual allegations introduced only after ZIM identified pleading deficiencies in its Motion to Dismiss. That is not the governing standard.

When evaluating a motion to dismiss, the well-established legal standard precludes consideration of new or contradictory factual allegations raised for the first time in an opposition brief. “It is axiomatic that a complaint may not be amended by the briefs in opposition to a motion to dismiss.” *Webster v. Spencer*, 318 F. Supp. 3d 313, 319 (D.D.C. 2018) (citation and internal quotation marks omitted). An opportunity to further develop a claim in an opposition brief is not an opportunity to allege additional facts that contradict the pleadings; rather, it simply allows the plaintiff to flesh out legal arguments already sketched in the complaint. *Henthorn v. Dep't of Navy*, 29 F.3d 682, 687 (D.C. Cir. 1994). Requiring a court to accept as true factual allegations made in legal memoranda that form no part of the official record, particularly where

those allegations directly contradict the facts alleged in the complaint, would stretch Rule 12(b)(6) far beyond even the generous pleading standards afforded to plaintiffs. *Id.* at 688. The Commission has consistently applied this principle. “In general, courts ruling on 12(b)(6) motions cannot consider factual allegations raised in briefs, especially when they contradict the allegations in the complaint.” *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Dkt. No. 12-02, 2015 WL 9426189, at *15 (FMC Dec. 18, 2015) (citing *Henthorn*, 29 F.3d at 688). “[C]ourts ruling on motions under Rule 12(b)(6) generally cannot consider factual allegations raised only in later briefs.” *Samsung Elecs. Am., Inc. v. Orient Overseas Container Line, Ltd.*, Dkt. No. 24-17, 2025 WL 2207363, at *4 (FMC July 30, 2025); *see also Webster*, 318 F. Supp. at 319 (“[The] opposition brief cannot make up for the deficiencies of the complaint.”).

The case law cited above rejects the precise maneuver the Complainants attempt here. The Opposition Brief seeks to supplement and revise the pleading by introducing new factual allegations or presenting allegations inconsistent with those set forth in the Verified Complaint. The following examples are illustrative rather than exhaustive and demonstrate several instances in which the Opposition Brief departs from the allegations pleaded in the Verified Complaint:

- In the Opposition Brief, the Complainants now allege that TD Logistics was their destination agent. Opp. Br. at 2–3. That allegation, however, was not pleaded in the Verified Complaint. Instead, the Verified Complaint alleges that TD Logistics acted as the destination agent for Shenzhen, the NVOCC. Compl. n. 7. This new or inconsistent allegation bears directly upon the Direct Purchaser Argument.
- “Complainants’ separate claims regarding \$917,458.74 in port-assessed fees are not at issue in this motion; the Port of Houston answered months ago. As alleged, those

amounts also reflect Shipping Act violations related to Zim’s unlawful conduct.” Opp. Br. at 4. This allegation was not pleaded in the Verified Complaint. The Complainants now assert, without further explanation, that the \$917,458.74 in port-assessed fees are somehow related to ZIM’s alleged conduct.

- The Opposition Brief characterizes the theories asserted in ZIM’s SD Tex Complaint as “maritime indemnity, unjust enrichment for port storage, and a previously unseen negligence claim built on a third party’s customs filings.” Opp. Br. at 11. The Verified Complaint, however, does not identify the specific theories of liability asserted in the SD Tex Complaint. The Opposition Brief therefore introduces new alleged factual details intended to portray the SD Tex Suit as frivolous and retaliatory.
- The Opposition Brief repeatedly identifies the amount of unpaid demurrage for which the Complainants seek a waiver as \$7,050,260. *See* Opp. Br. at 4, 7, 12. The Verified Complaint, however, seeks a waiver of \$7,056,260 in demurrage charges. Compl. ¶ 2. This \$6,000 discrepancy reflects yet another departure from the allegations pleaded and creates uncertainty as to the amount the Complainants contend is at issue.
- The Opposition Brief’s Exhibit A¹ identifies “Elektron Enterprises LLC” as the entity that submitted the October 29, 2025, dispute letter. The Verified Complaint, however, does not mention “Elektron Enterprises LLC” or allege any relationship between that entity and the Complainants. Instead, the Verified Complaint states only that

¹ This proceeds on the assumption that Exhibit A may properly be considered because of its incorporation by reference into the Verified Complaint through the Verified Complaint’s repeated references to the October 29 letter. *See MAC Industries Inc. v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 25-29, 2026 WL 1603335, at *2 (ALJ May 21, 2026).

“Complainants (via DQS’s parent entity—Elektron Energy Operations Ltd. (“Elektron”), through undersigned counsel), timely submitted within 30 days, a formal dispute letter.”

Compl. ¶¶ 118, 120. The Complainants thus conspicuously omit from the Verified Complaint that the entity identified in Exhibit A as having submitted the dispute letter is different from the parent entity alleged in the Verified Complaint, while offering no explanation for that discrepancy. This factual inconsistency may be material because the identity of the entity that submitted the dispute letter, and its relationship to the Complainants, may bear directly upon the Complainants’ Section 41102(d) claim.

- The Opposition Brief quotes specific paragraphs from ZIM’s amended complaint in the SDNY action and relies on those allegations to support various arguments advanced in the Opposition Brief. *See* Opp. Br. at 10–11.²

These new or inconsistent allegations cannot be used to cure the pleading deficiencies in the Verified Complaint that ZIM identified in its Motion to Dismiss. Likewise, the Complainants cannot obtain the benefit of favorable inferences based on alleged facts that were not pleaded in the Verified Complaint. The presiding ALJ should therefore evaluate the sufficiency of the Verified Complaint as pleaded, not the complaint the Complainants now wish they had filed after reviewing ZIM’s Motion to Dismiss. The Commission’s regulations provide the proper procedural mechanism for adding new factual allegations or correcting prior allegations. *See* 46 C.F.R. § 502.66. The Complainants did not invoke that procedure and cannot use the Opposition Brief as a vehicle to plead new or revised allegations on which they now seek to rely.

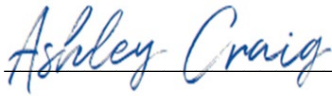
² The Opposition Brief also attaches Exhibit B and relies on factual material contained therein that was neither alleged nor incorporated into the Verified Complaint.

III. Conclusion

For these foregoing reasons and the reasons set forth in the Motion to Dismiss, ZIM respectfully requests that the Complaint be dismissed for failure to state a cognizable claim for which relief may be granted.

Dated this 26th day of August 2026.

Respectfully submitted,



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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that I have this day served the foregoing document upon all interested persons and parties by mailing a copy to each such person via electronic mail to the following email addresses:

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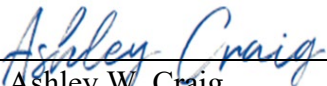
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Dated at Washington, DC, this 26th day of August 2026.



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